

BERNSTEIN

SOCIETE GENERALE GROUP

China Semiconductors

Horizon Robotics

Rating

Outperform

Price Target

 9660.HK

10.00 HKD



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Horizon Robotics: A smart CB restructuring equals to 1% share buy back

Horizon announced a [convertible bonds \(CB\) restructuring](#) and expanded its Volkswagen (VW) partnership on [L3/L4 automated driving](#) on July 23, 2026. We see both events as positive, the CB restructuring avoided a potential 4.9% dilution and effectively served as 1% share buy back. The market traded -3.8% after the announcement which should be wrong (in our view); we consider this as a good opportunity to buy the dip. **Maintain OP.**

The restructuring of VW's CB avoids potential 4.9% dilution and underscores Horizon's commitment to protecting shareholder value. Under the original structure, the c.716mn shares exceeding VW's 9.9% ownership threshold would likely have been placed with financial investors, creating both dilution and substantial near-term selling pressure. Horizon has eliminated this overhang by issuing a new CB to replace the excess shares. VW also voluntarily extended the lock-up on its entire stake by 12 months, reinforcing the long-term partnership.

Replacing an interest-bearing CB with a zero-coupon CB saves USD 20Mn interest expenses, higher convertible price serves as an effective 1% share buy back. Early termination saves around USD 20Mn of interest expense. The new USD 450Mn CB carries zero coupon and zero yield, with a HKD5.55 conversion price at a 16.8% premium to the latest close price. Its potential 3.9% dilution remains below 4.9% issuance under the original structure, equivalent to 1% buyback. Horizon has therefore reduced financing costs, raised the conversion threshold and lowered potential dilution in a single transaction.

VW's L3/L4 commitment validates Horizon's full-stack technology advantage and shows that OEM insourcing expands, rather than closes, its commercial opportunity. CARIZON will be licensed with Horizon's AI foundation model, C7H SoC architecture, and GAIA world model data platform. Management also confirmed that Horizon's tech IP will be placed inside VW China's proprietary automated-driving architecture. Initial L3 deliveries are targeted for 2H27, followed by L4 applications across passenger vehicles and robotaxi. More broadly, Horizon can monetize through BPU and algorithm IP licensing, standardized computing chips, full-stack solutions or JV. This flexibility allows OEMs to retain system ownership, while relying on Horizon's underlying technology, preserving Horizon's commercial relevance and customer relationships even as OEMs increasingly pursue in-house development.

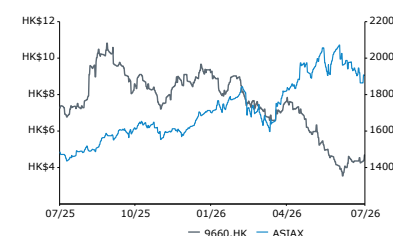
Financials	F25A	F26E	F27E	CAGR
Adjusted EPS	(0.81)	(0.25)	(0.11)	(63.1)%
EPS Growth (%)	(258.8)	69.0	56.0	--

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	23 Jul 2026			
9660.HK Close Price (HKD)	4.57			
Price Target (HKD)	10.00			
Upside/(Downside)	119%			
52-Week Range	11.32/3.60			
ASIAX	1,907.19			
FYE	Dec			
Div Yield	NA			
Market Cap (HKD) (M)	66,593			
EV (HKD) (M)	38,012			
Performance	YTD	1M	6M	12M
Absolute (%)	(47.2)	13.7	(49.5)	(37.4)
ASIAX (%)	16.6	(4.5)	11.1	28.3
Relative (%)	(63.8)	18.2	(60.6)	(65.7)
Source: Bloomberg, Bernstein estimates and analysis.				

Source: Bloomberg, Bernstein estimates and analysis.

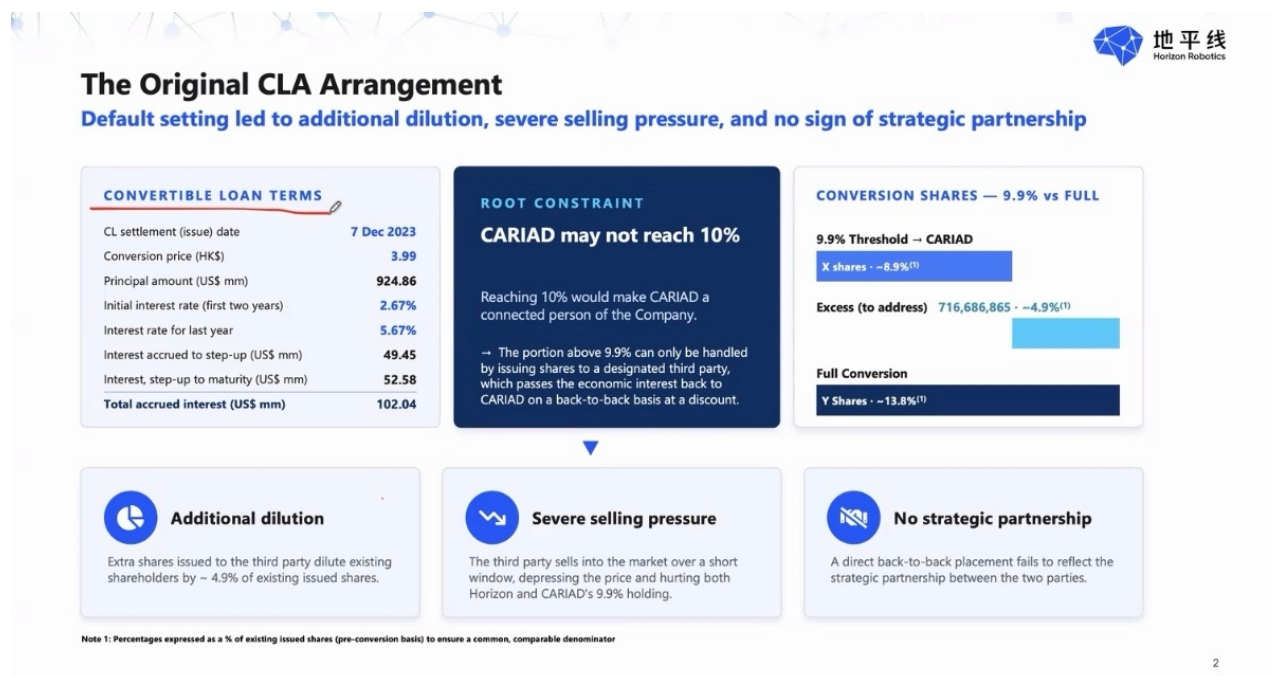
Price Performance, 1YR



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EXHIBIT 1: **VW CLA amendment will strengthen Horizon's partnership with VW, and avoid potential dilution**

Source: Company reports

EXHIBIT 2: VW original CLA amendment will avoid potential 4.9% dilution and save USD 20Mn interest expenses**Inputs**

Run date	2026-07-22
USD / HKD exchange rate	7.8418
Share price (HK\$)	4.75

Original Convertible Loan Terms

CL settlement (issue) date	2023-12-07
Conversion / maturity date	2026-12-07
Conversion price (HK\$)	3.99
Principal amount (US\$ mm)	924.86
Initial interest rate (to step-up date)	2.67%
Interest rate from step-up date	5.67%
Total accrued interest to maturity (US\$ mm)	102.04
Total convertible amount - principal + interest (US\$ mm)	1,026.89
Total convertible amount - principal + interest (HK\$ mm)	8,052.69

Share Capital Change After CLA Amendment & Reduced Dilution

Total shares after the 9.9% conversion	15,873,486,671
VW shares after conversion	1,571,475,180
VW shareholding after conversion	9.9%

Shares if fully converted at conversion price under original terms	2,018,218,720
Shares that would otherwise be required to be issued	716,455,233.52
Reduced dilution (pre-conversion basis)	4.9%

Cash Payment & Implied Buyback Discount

Total cash payment to VW (US\$ mm)	398.9
of which: total principal & interest to be paid (US\$ mm)	344.6
of which: redemption fee (US\$ mm)	54.4

Implied buyback price per share (HK\$)	4.37
Discount to current share price	-8%

Interest Cost Savings

Interest savings, run date to maturity (US\$ mm)	20
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Source: company report, Bernstein analysis

EXHIBIT 3: The new zero-interest and zero-yield CB replaces the interest-bearing CB and reduces the potential dilution with a higher conversion price
New CB Terms

Offer Size	US\$	450,000,000
Repayment portion to VW	US\$	398,920,973
Reference Share Price	HKD	4.75
Fixed Exchange Rate		7.8395
Initial Conversion Price		5.55
Initial Conversion Premium		16.8%

No. of shares

Total no. of shares before conversion	14,571,723,185
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Shares if fully converted - repayment portion under new CB terms

Shares to be converted corresponding to the repayment portion to VW under new CB Terms	563,484,859
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Reduced Dilution - repayment portion under new CB terms

Dilution effect under new CB Terms - repayment portion to VW	3.9%
Dilution effect if excess share converted under original VW CLA	4.9%
Reduced Dilution	-1.0%

Source: company reports, Bernstein analysis

EXHIBIT 4: Redemption at a discount to market reduces dilution by 4.9%



Enter into an amendment for the convertible loan agreement w/ CARIAD

ORIGINAL CLA Convert to 9.9% + VW has right to settle Remaining Tranche via third-party placement + Maturity 7 Dec 2026

CLA AMENDMENT 5 CORE ACTIONS

1	Issue Conversion Shares	Class B Shares to CARIAD, up to the 9.9% Threshold
2	Repay the Excess Amount	Outstanding principal plus accrued interest, in cash
3	Additional Payment	Consideration to redeem the Excess Conversion Right (~716.7M shares)
4	Early Termination	Of the convertible loan agreement upon closing of this amendment
5	12-month Lock-up	CARIAD voluntarily locks up its 9.9% shareholding

ANCILLARY

KEY ECONOMIC CONCLUSION

Redemption at a discount to market reduces dilution by ~4.9% of pre-conversion capital versus the original third-party structure, saves ~ **US\$20 M⁽¹⁾** in interest, and removes the associated market selling pressure.

Note 1: On a nominal (undiscounted) basis and excluding the Additional Cash Payment, the interest accruing under the Loan Repayment Amount would be approximately US\$20 million lower than the interest that would otherwise accrue under the Loan if held to maturity.

3

Source: Company reports

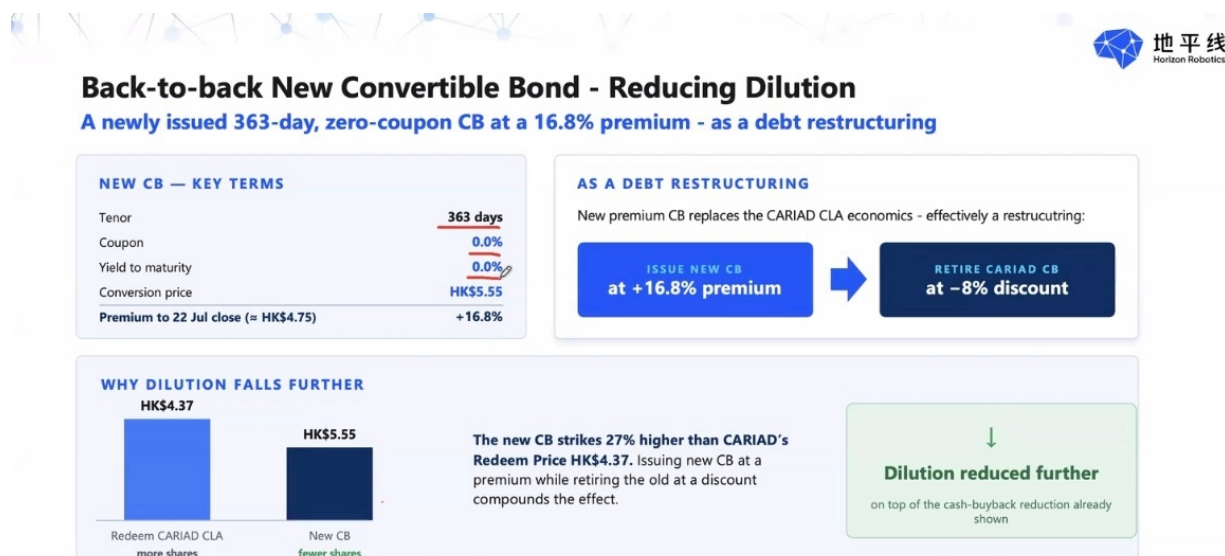
EXHIBIT 5: VW CLA amendment deal structure



4

Source: Company reports

EXHIBIT 6: A back-to-back new CB raises the conversion price



Notes: Illustrative and indicative only. Assumes the CARIAD CB repayment is on a full-conversion basis

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Source: Company reports

INVESTMENT IMPLICATIONS

We rate Horizon **Outperform**, with TP at HKD 10.

BERNSTEIN TICKER TABLE

23 Jul 2026						TTM	Reported EPS			EV/Sales (x)			
			Closing	Price	Rel.								
Ticker	Rating	Cur	Price	Target	Perf.		Cur	2025A	2026E	2027E	2025A	2026E	2027E
9660.HK (Horizon Robotics)	O	HKD	4.57	10.00	(65.7)%		RMB	(0.81)	(0.25)	(0.11)	10.1	6.5	3.9
ASIA			1,907.19										

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Horizon Robotics**

We rate Horizon Robotics Outperform with Price Target at HKD 10, based on a 10.3x Enterprise Value-to-Sales (EV/Sales) ratio to its 2BF (2H27-1H28) sales at RMB 11.5Bn.

RISKS**Horizon Robotics**

Downside risks:

- The smart driving penetration increase not as fast as expected;
- OEM in-house development taking more share than expected;
- Delays in shipments or deployments to major customers lead to downside in revenue growth.

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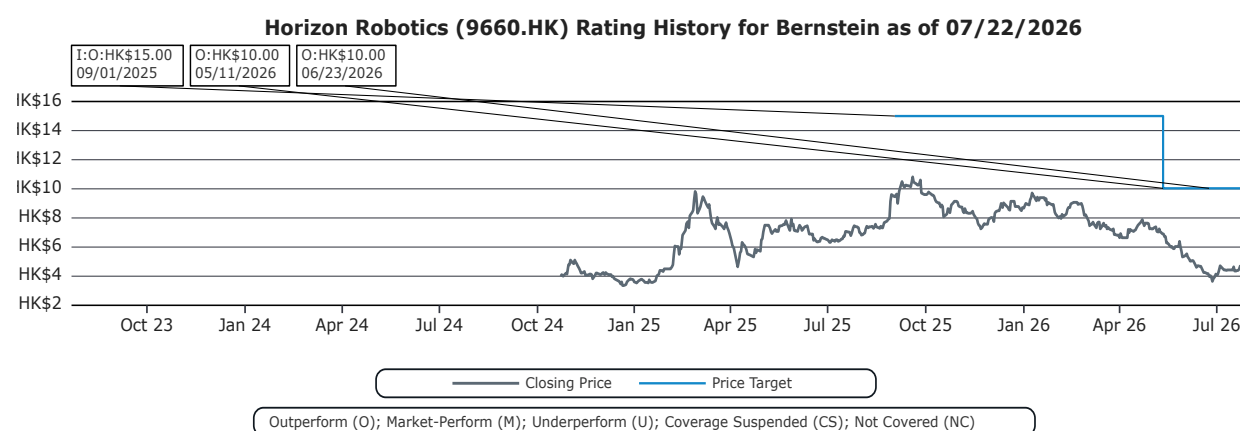
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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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